

the process, Harshad was also getting to enjoy what he loved doing – squeezing the bear traders who bet against him.

Harshad avoided some of the mistakes he had made the last time, but one flaw remained – his desire to be in the limelight. Had BPL, Videocon and Sterlite shares fallen along with the rest of the market, it would have only seemed natural. But by pushing up their prices even as blue chips were not finding takers, Harshad managed to draw market attention to himself. Maybe he was trying to convince himself that he was still the Big Bull of old who could sway the market with his purchases.

The bear operators tried to bring him down by short-selling the stocks. Each time, Harshad drove up the prices and forced them to cover their positions at a loss. This went on for some time until the bears decided to back off and wait for an opportune time to hit back.

Despite the eye-popping gains in these stocks, fund managers were not willing to touch BPL, Videocon and Sterlite shares for fear of being associated with Harshad. This meant the only buyers for these stocks were Harshad and his group of brokers. So long as the prices kept rising, it was not difficult for Harshad & Co to keep carrying forward their positions to the next settlement. Still, at some point, the bulls had to pause for breath. And indeed they did, and the three stocks stopped in their tracks, staying level for about a week.

The bears now smelt blood, aware that the bulls were finding it difficult to book profits without depressing prices. In the middle of June, the three stocks started tumbling rapidly. Somebody in the syndicate had to liquidate his positions under duress, and all hell broke loose for Harshad and gang. The same stocks that had seemed to be defying the laws of stock market gravity till a couple of weeks back were now obeying another law of stock market physics – the faster the climb, the harder the fall.

Trading in the stocks was frozen on many days for want of buyers, and their free fall continued. There were many theories – ranging from the ridiculous to the plausible – as to what may have triggered their collapse. One was that Harshad's wife too had been holding shares in them and had decided to sell some of her holdings to fund the renovation of their home. The broker selling the shares took this as a sign that the Big Bull was looking to exit the stocks, and this spread panic in the bull camp, which then started cashing out. I had heard a variation of the same theory as one of the reasons for the end of the bull market in 1992.